



Market Monitor

No.12 – October 2013

www.amis-outlook.org

*The **Market Monitor** is a product of the Agricultural Market Information System (AMIS), a G20 initiative to provide information, analysis and short-term supply and demand forecasts. It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

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World Supply-Demand Outlook

In spite of downward revisions to the September production forecasts for all AMIS crops except for maize, the overall prospects still point to a more balanced supply and demand situation in 2013/14. Climate conditions could pose a threat to the outcome of harvests during the second half of this year, but current weather forecasts and growing conditions are generally supportive to good production outlook.

	From previous month f'cast	From previous season
Wheat	▼	▲
Maize	■	▲
Rice	▲	▲
Soybeans	▼	▲
	▲ Easing ■ Neutral ▼ Tightening	

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13	2013/14	
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 26-Sep	2012/13 est.	2013/14 f'cast 05-Sep	2013/14 f'cast 03-Oct
WHEAT							
Production	655	709	655	693	659	710	705
Supply	855	883	849	868	839	867	860
Utilization	681	706	673	687	687	691	695
Trade	138	155	141	141	139	139	141
Ending Stocks	174	176	175	180	155	170	163

- **Wheat** production forecast in 2013 lowered since September on slightly less favorable outlook in Southern hemisphere countries.
- Utilization in 2013/14 rising faster than anticipated on continued strong use of wheat for feed in several countries.
- Trade increasing slightly in 2013/14, mostly on higher imports by China.
- Stocks (ending in 2014) to rebound but by less than anticipated earlier, reflecting a lower production forecast and an increase in the forecast for utilization.

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13	2013/14	
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 26-Sep	2012/13 est.	2013/14 f'cast 05-Sep	2013/14 f'cast 03-Oct
MAIZE							
Production	860	957	863	943	876	983	987
Supply	992	1079	994	1064	1011	1117	1117
Utilization	869	928	872	917	886	934	936
Trade	94	103	96	100	101	103	104
Ending Stocks	123	151	121	148	130	176	173

- **Maize** production forecast in 2013 higher than anticipated in September on larger estimates for China, India and the US.
- Utilization in 2013/14 to expand by 6% on strong growth in feed and industrial use.
- Trade to expand by nearly 2% from 2012/13, driven by strong demand in China.
- Stocks (ending in 2014) up 33% above their low opening level, largely on expectation of a recovery in maize inventories in the US.

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13	2013/14	
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 26-Sep	2012/13 est.	2013/14 f'cast 05-Sep	2013/14 f'cast 03-Oct
RICE							
Production	469	477	469	474	491	497	496
Supply	574	582	576	582	652	671	671
Utilization	469	475	467	473	478	490	488
Trade	38	39	37	38	38	38	38
Ending Stocks	105	107	108	110	175	181	183

- **Rice** production forecast lowered, as downwards revisions for China and Pakistan outweighed increases for India, Sri Lanka, US and Venezuela.
- Utilization in 2013/14 to rise by 2.1 percent, with food consumption growing slightly faster than population.
- Trade forecast for 2014 raised slightly, but remaining steady. Exports by Thailand seen rebounding in 2014.
- Stocks (ending in 2014) raised, mostly on account of India and Thailand, and now expected to end 8 million tonnes above their opening level.

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13	2013/14	
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 26-Sep	2012/13 est.	2013/14 f'cast 05-Sep	2013/14 f'cast 03-Oct
SOYBEANS							
Production	267	282	269	280	267	284	281
Supply	322	343	292	306	293	309	306
Utilization	258	269	266	277	268	278	277
Trade	98	107	97	106	98	104	105
Ending Stocks	62	72	26	29	26	31	29

- **Soybeans** 2013/14 production forecast lowered on downward adjustments for Argentina, India and US.
- Utilization in 2013/14 expanding on trend, by around 3.5%.
- Trade forecast for 2013/14 increased, now pointing to a pronounced rise of around 8%.
- Stocks forecast 2013/14 (carry-out) lowered on reduced estimates for Argentina and the US.

Crop Monitor

Crop Monitor is developed for AMIS by GEOGLAM. It summarizes latest crop conditions for AMIS crops based on regional expertise and analysis of satellite data, ground observations, and meteorological data, and was conducted by experts from global, national and regional monitoring systems. For each of the four crops, a paragraph summarizing current conditions is provided, accompanied by a satellite-based indicator map. Each map depicts crop vegetative growth anomalies from September 27th (relative to a 12 year average), over the main crop growing regions within AMIS countries.*

Wheat: Prospects are favourable in the Northern Hemisphere. Winter wheat harvest is complete, spring wheat harvest is in progress and winter wheat planting has initiated. In the **US, Canada, and Kazakhstan** spring wheat prospects are mostly good. In **Russia** spring wheat prospects are favourable and are up sharply relative to last year's drought reduced levels, and winter wheat planting is in progress in European Russia though soil moisture levels are low for the emerging crop. In the Southern Hemisphere conditions are mostly favourable. In **Australia** overall prospects for winter wheat production remain positive despite variable growing conditions over winter including sustained above average temperatures and little rainfall across parts of eastern Australia since late August. In **Argentina** precipitation is needed in coming weeks. In **Brazil** excessive wetness and August frosts caused some significant crop damage. In **South Africa** winter wheat conditions are good owing to widespread winter rain.

Maize: General conditions are good. In the **US**, over half of the maize is in good to excellent condition despite late season dryness and heat. A record production is expected largely due to increased planted area which has compensated for the somewhat lower than trend yields. In **Canada**, conditions are favourable and yields are expected to be average to above average. In the **EU**, overall conditions are good except in northern Italy and parts of the Balkans where conditions were affected due to late sowing and dry and hot conditions. In **Russia** yield prospects are favourable despite low soil moisture in the south. In **India** and **Ukraine** prospects are generally good. In **China** conditions are good and a bumper crop is expected, however the delayed sowing and cold spring may threaten yield prospects in the northeast due to the shortened growing season. In **Mexico** overall conditions are good though there is concern over excess moisture and localized flooding. In **Brazil** the second crop harvest is almost completed and yield prospects are favourable.

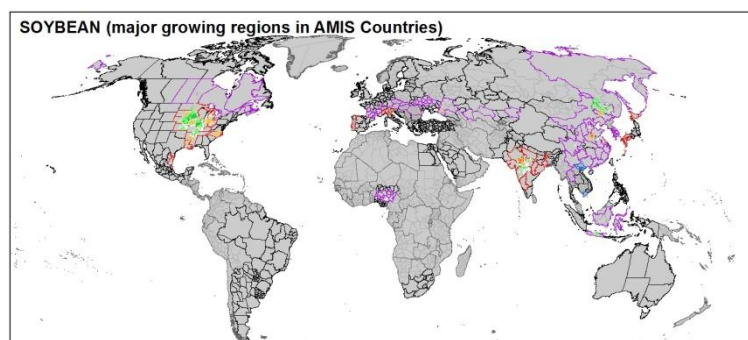
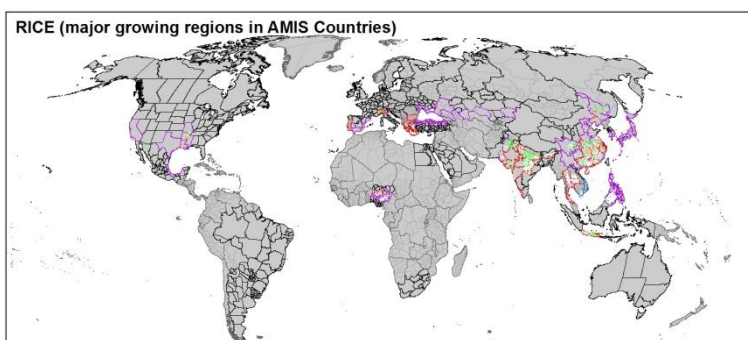
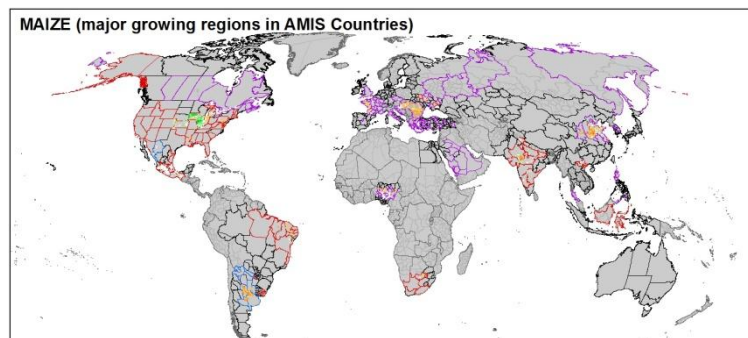
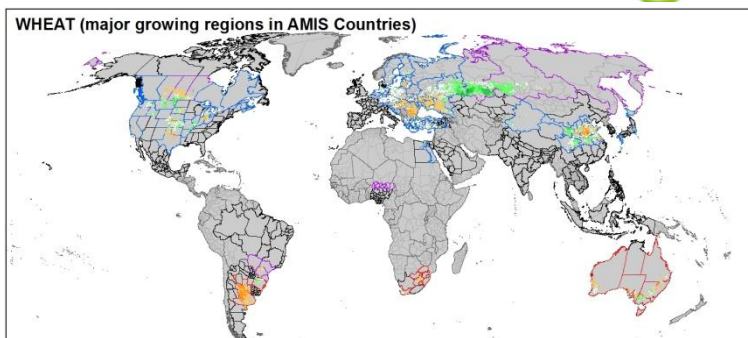
Rice: Growing conditions are favourable. The monsoon season in **South and Southeast Asia** maintained good moisture across most of the region. In **India, Bangladesh and Pakistan** conditions are mostly good. Mostly favourable conditions were maintained in **Indonesia, Thailand, Vietnam and Japan**. In the **Philippines** prospects are good though there is some concern over excess moisture. In **China** tropical cyclone rainfall has improved prospects for rice in the south, and the favorable moisture conditions are benefitting late season rice development and filling of single season rice.

Soybeans: Growing conditions are favourable. In the **US**, approximately half of the crop is in good to excellent condition although late season dryness has reduced yield prospects. In **China**, crop conditions are generally favorable with warmer weather facilitating crop development. In **India** prospects are favourable but there is some concern over developing dry conditions in parts of the country.

* GEOGLAM aims at strengthening global agricultural monitoring by improving the use of satellite information for crop production forecasting. It is implemented within the framework of the inter-ministerial Group on Earth Observations (GEO). Both GEOGLAM and AMIS were endorsed by the G20 Heads of States Declaration (Cannes, November 2011) when GEOGLAM was tasked to "coordinate satellite monitoring observation systems in different regions of the world in order to enhance crop production projections and weather forecasting data." Within this framework, GEOGLAM is providing global crop outlook assessments in support of AMIS market monitoring activities.

Satellite-Based Vegetative Growth Anomalies based on the Normalized Difference Vegetation Index (NDVI)

NDVI is an indicator of photosynthesis often used for monitoring croplands. These anomaly images compare the NDVI for September 27th 2013 to the average NDVI for the same date from 2000-2012, over the main growing regions of the four AMIS crops. Orange to red indicates less green vegetation than average, green indicates higher than average vegetation. Administrative unit outline colours indicate crop growth stage: **Blue-planting to early vegetative**, **Red-Vegetative to Reproductive** (generally the most sensitive crop growth period), **Purple-Reproductive to Maturity**, **Black-areas out of season**. Note: only AMIS countries are highlighted.



Legend



Sources & Disclaimer

The Crop Monitor assessment has been conducted by GEOGLAM with inputs from the following partners (in alphabetical order): AAFC (Canada), CAS CropWatch (China), ARC (South Africa), ABARES/DA/CSIRO (Australia), CONAB/INPE (Brazil), GISTDA (Thailand), EC JRC-MARS, FAO, ISRO (India), JAXA (Japan), ASIA RiCE, IKI (Russia), INTA (Argentina), IRRI, LAPAN/MOA (Indonesia), Mexico (SiAP), NASA, UMD, and USDA FAS/ USDA NASS (US), Ukraine Hydromet Center/NASU-NSAU (Ukraine), VAST/VIMHE (Vietnam).

The findings and conclusions found in this joint multiple-agency reporting are only consensual statements from the GEOGLAM expert group, and do not necessarily reflect those of the individual Agencies represented by these experts. Map data sources: Main crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013). Crop calendars based on FAO and USDA crop calendars. NDVI anomaly data produced by NASA/USDA/UMD based on NASA MODIS data.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) - September 2013

	September 2013 Average*	% Change	
		M/M	Y/Y
GOI	259	+ 1.3%	- 20.2%
Wheat	232	- 0.2%	- 19.9%
Maize	220	- 3.4%	- 28.1%
Rice	185	- 4.5%	- 15.7%
Soybeans	276	+ 5.0%	- 19.0%

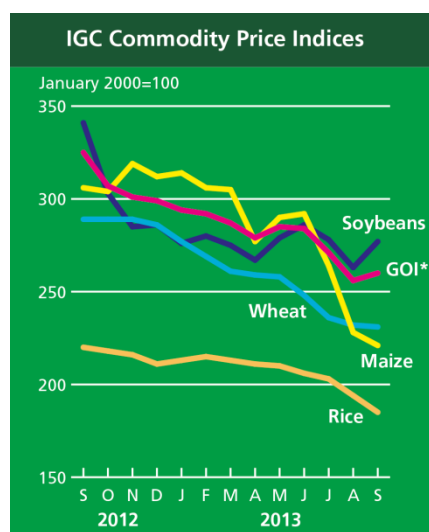
*Jan 2000=100, derived from daily export quotations

Wheat: Increasing confidence that world wheat supplies would be adequate in 2013/14 put downward pressure on prices during the first part of September, along with declines in other grains and oilseeds, especially maize. However, falls were limited by solid export demand, concerns about lower export potential in Argentina and suggestions that China would need further imports. Overall, the IGC GOI wheat sub-Index edged down, staying close to its lowest level since early June 2012.

Maize: New crop supplies and prospects for a large crop in the US, combined with good availabilities in Brazil, led to declines in maize export prices during September. Black Sea prices were broadly unchanged as rain-related delays tempered good crop prospects. The monthly average of the IGC GOI maize sub-Index fell 3% m/m, and touched its lowest level in more than three years.

Rice: The IGC GOI rice sub-Index fell by a further 4% over the past month, although trends at major origins were somewhat mixed. While a recent increase in export demand and currency movements provided support in Thailand, values in Vietnam declined on improved supplies and slower buying interest, especially from China. Elsewhere, the white rice market in India was mainly influenced by changes in the value of the domestic currency, while harvesting put seasonal downward pressure on US Gulf milled prices.

Soybeans: The IGC GOI soyabean sub-Index was 5% higher m/m on average in September. Prices were lifted by worries about the impact of dryness in the US Midwest on yield potential, although beneficial rains and technical weakness led to some reversal later in the month, and on planting delays in Brazil, due to hot and dry weather in some key growing regions.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2012	September	325.0	289.4	306.3	219.7	340.8
	October	307.3	289.3	304.3	217.9	303.3
	November	300.6	289.3	318.9	216.3	284.7
	December	298.7	285.6	312.2	211.1	286.1
2013	January	293.6	277.4	313.8	212.6	276.1
	February	292.1	268.6	305.8	214.6	279.6
	March	287.1	261.3	304.8	212.8	274.9
	April	278.6	258.8	277.1	211.4	267.4
	May	285.1	258.3	289.6	210.1	278.9
	June	284.4	248.0	292.3	206.3	286.2
	July	271.3	236.0	264.3	202.7	277.9
	August	256.0	232.3	228.0	193.8	262.9
	September	259.6	231.3	220.8	185.3	276.7

*GOI: Grains and Oilseeds Index

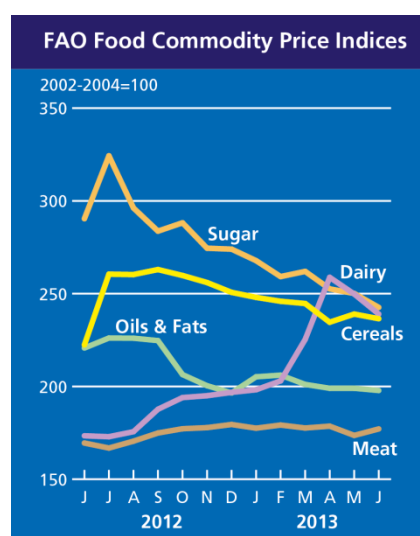
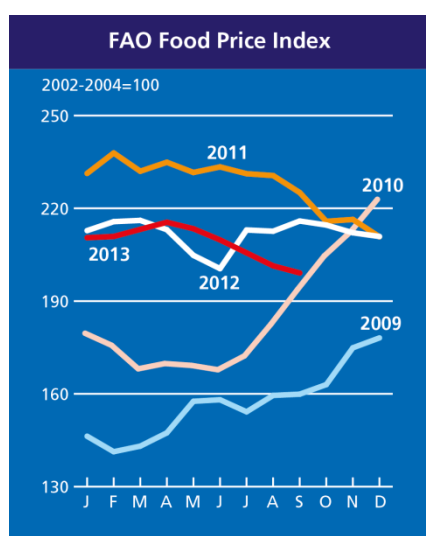
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2011-2013)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	01-Oct	330	315	313	377	4.7%	-12.6%
Maize (US No. 2, Yellow)	30-Sep	199	201	234	323	-0.6%	-38.3%
Rice (Thai 100% B)	30-Sep	430	435	430	563	-1.1%	-23.6%
Soybeans (US No.2, Yellow)	01-Oct	510	523	550	607	-2.6%	-16.0%



FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
		(..... 2002-2004 = 100)					
2012	September	215.9	174.9	187.7	263.0	224.7	283.7
	October	214.6	177.2	194.0	259.8	206.4	288.2
	November	212.1	177.8	195.0	256.0	200.4	274.5
	December	210.9	179.5	196.8	250.7	196.5	274.0
2013	January	210.5	177.5	198.2	248.0	205.2	267.8
	February	210.9	179.2	203.0	245.9	206.1	259.2
	March	213.2	177.6	225.3	244.7	201.1	262.0
	April	215.5	178.6	258.8	234.6	199.0	252.6
	May	213.4	174.1	249.8	239.0	199.0	250.1
	June	209.8	173.1	239.0	236.3	197.8	242.6
	July	205.6	172.6	236.3	227.7	191.2	239.0
	August	201.4	174.2	239.1	210.6	185.5	241.7
	September	199.1	175.7	240.7	197.7	186.3	246.0

Futures Markets

Futures Prices

	September 2013 Average	% Change	
		M/M	Y/Y
Wheat	238	1.0%	-26.1%
Maize	184	-3.3%	-38.9%
Rice	343	-0.5%	+4.1%
Soybeans	504	+1.2%	-18.3%

Source: CME

Historical Volatility – 30 Days

	Monthly Averages		
	September 2013	August 2013	September 2012
Wheat (Nearby)	18.1%	16.0%	17.9%
Maize (Dec)	36.6%	30.6%	13.6%
Rice (Nearby)	27.3%	18.7%	19.7%
Soybeans (Nov)	28.1%	24.0%	19.6%

Prices

Wheat and maize futures (nearby) traded in a narrow range, averaging \$238/MT and \$184/MT respectively, reflecting increasing certainty over supply and demand fundamentals for 2013/14 marketing season. Soybean futures, after experiencing a 17% rise during August due to dry conditions during the critical pod filling stage, stabilized to trade under the \$14/bushel mark [\$514/MT] as Midwestern rains arrived. Rice quotations also stabilized around \$343/MT with the approach of harvest.

Volumes and volatility

Volumes for wheat and maize declined m/o/m as most traders perceived continued price consolidation and diminishing opportunities in the two cereals. Volumes for soybeans and rice were unchanged.

Implied volatility for all four commodities continued to decline from the short term peak reached late August.

Forward curves

Forward curves changed little from last month. Strong demand, low pipeline supplies and delayed harvest are contributing to an abnormal backwardated configuration in soybeans.

Investment Flows

Managed money continued to hold net short positions in maize and wheat while maintaining a heavily weighted long vs. short position (9:1) in soybeans. Clive Capital, once the largest commodity hedge fund by assets under management (\$5bn), announced it was closing its fund after reporting losses for the last 2½ years.

For more information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

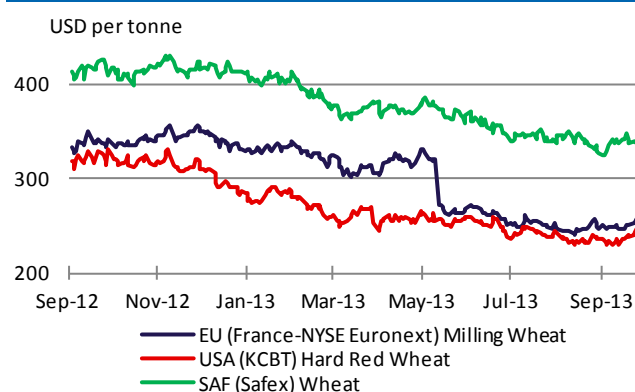
Policy Developments

- An agreement was reached on the **European Union's** Common Agricultural Policy (CAP) 2014-2020. The implementation of the new CAP will begin in January 2014 and will progressively unfold up to January 2015. Although greater flexibility is introduced in its implementation by Member States, the new CAP does not represent a major departure from the current orientation of farm support in the EU.
- The European Parliament could not agree to a negotiating position with Members States on the revision of the Renewable Energy Directive that foresees a 6% cap on conventional biofuels among other adjustments.
- **India's** National Food Security Bill was signed into law. About half of the urban population and three quarters of the rural population will benefit from this scheme for at least three years. Eligible beneficiaries, to be determined at state level, will be entitled to 5 kilograms of rice, wheat or coarse grains per month at INR 3, 2 and 1 per kilogram. The scheme adds on to other existing programmes.
- The export quota for maize was increased in **Argentina**.
- A government-to-government trade deal was made for the purchase by **China** of over 1 million tonne of rice from **Thailand**.
- Import measures on soybeans were eased in **Indonesia** and the duty free import quota on wheat was increased by 15% in **Brazil**.

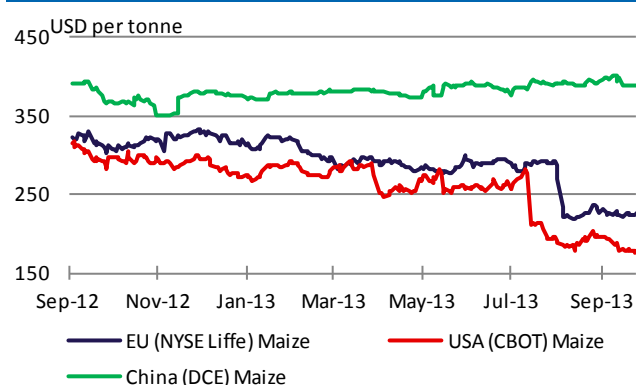
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

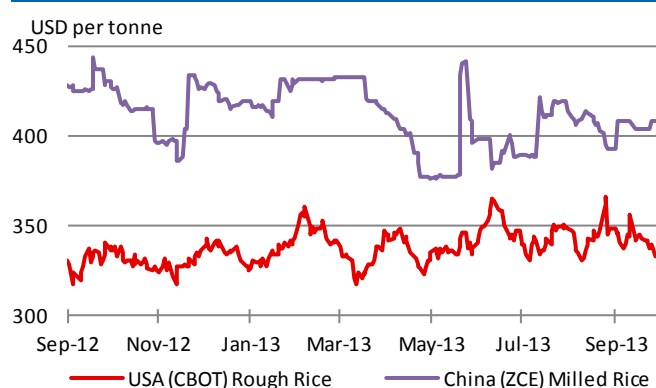
Wheat



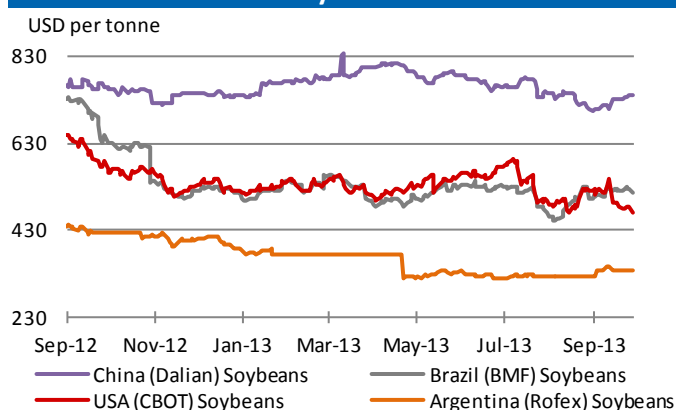
Maize



Rice

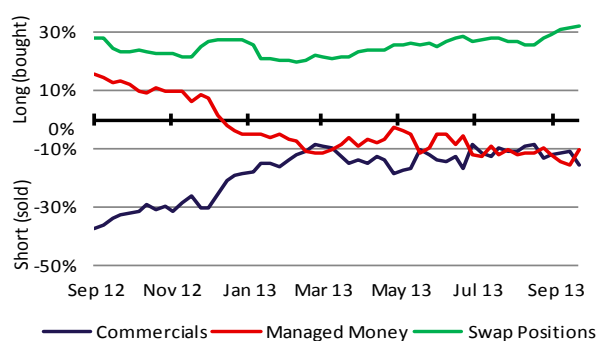


Soybeans

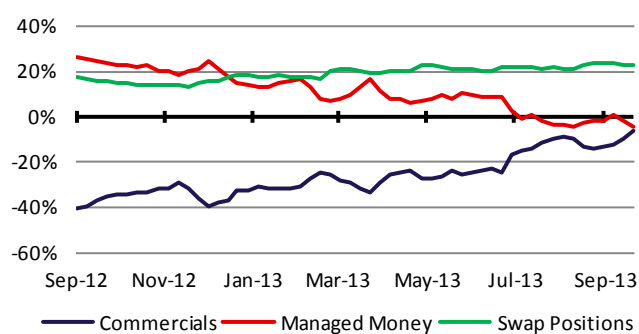


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest**

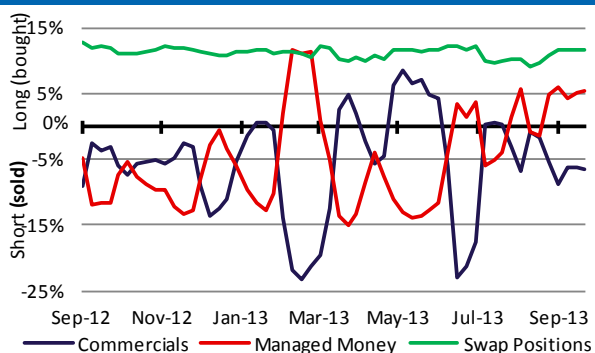
Wheat



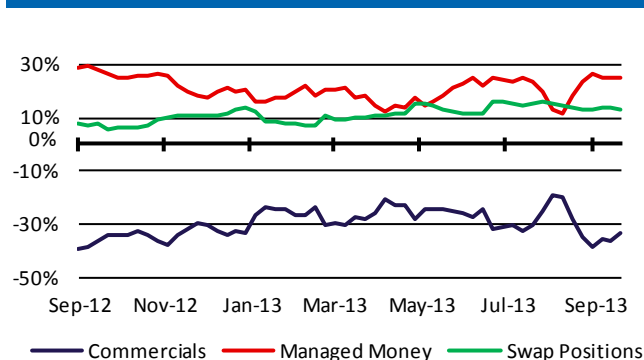
Maize



Rough Rice

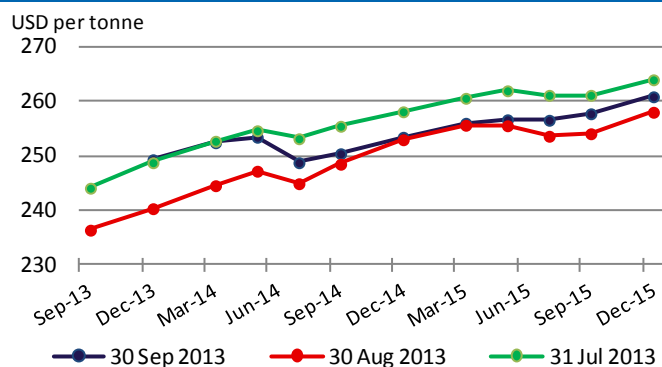


Soybeans

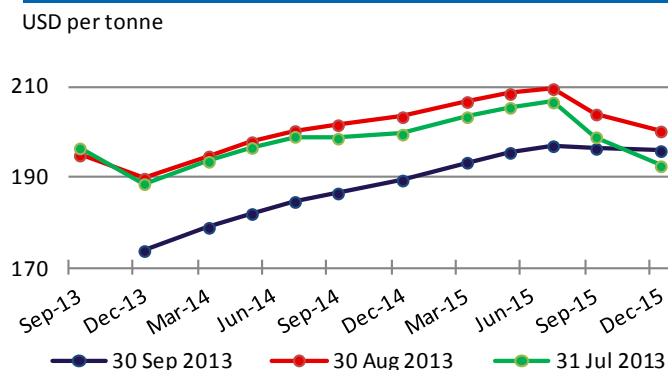


Forward Curves

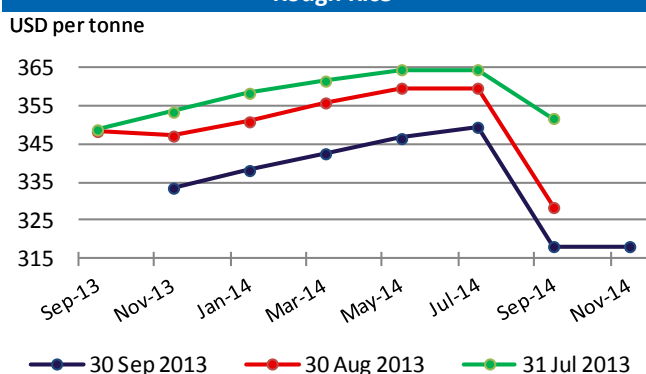
Wheat



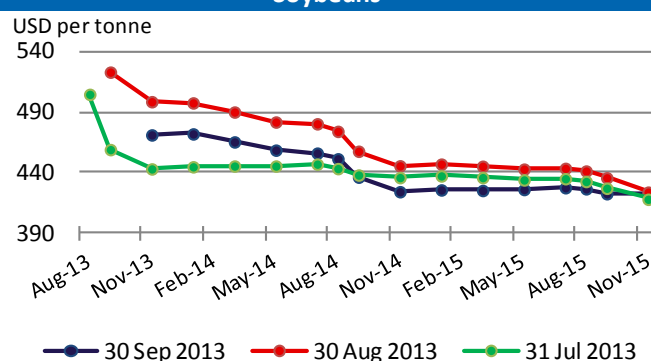
Maize



Rough Rice

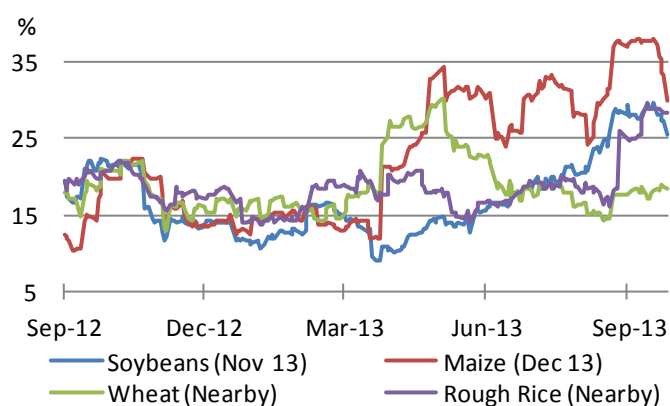


Soybeans

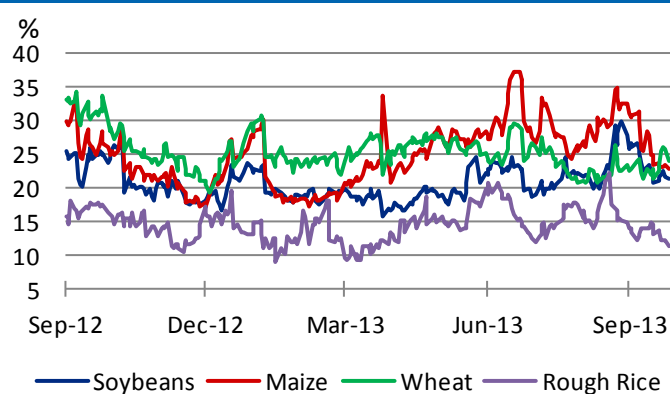


Historical and Implied Volatilities

Historical Volatility (30D)



Implied Volatility (Daily)



AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts published in this report are based on the latest data published by USDA, IGC and FAO. They may vary for many reasons, but mainly because of different methodologies and release dates.

FAO-AMIS: World estimates and forecasts are based on information received from AMIS countries as well as FAO data.

Dates: Refer to the release date of the data from the selected sources: FAO, IGC, and USDA.

Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. Soybeans production data refer to the split (i.e. 2013/14) season.

Supply: Defined as production plus opening stocks.

Utilization: For wheat, maize and rice utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: Data is calculated as the aggregate of carry-overs at the close of national crop seasons ending in the year shown.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, USDA, US Federal Reserve, World Bank

2013 Release Dates

07 February, 07 March, 11 April, 09 May, 06 June, 04 July, 05 September, 03 October, 07 November, 05 December

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